



PRINTING MONEY

Governments can issue their own money, either by printing it or by creating it electronically. However, creating money in this way carries a risk. Since money depends on trust, when a government issues increasing amounts of currency, people may have less confidence in the value of that currency. If their trust collapses completely, hyperinflation may occur (*see pp.132–135*). This is what took place in Germany in the 1920s, for example.



\$6.7
trillion
the amount the US
government spent in 2016

A BUDGET IN BALANCE

The government budget balance is the overall difference between its revenues and its spending.

